Persistent Systems

PERSISTENT

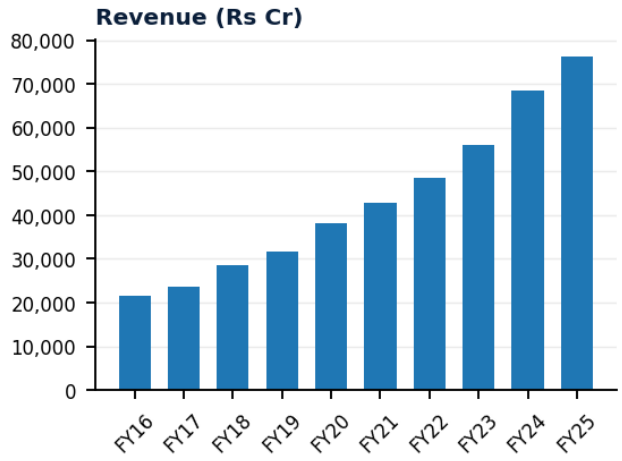
Sector: IT

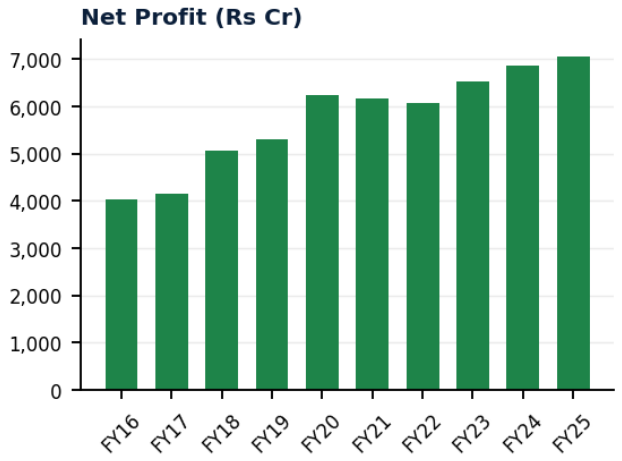
Key performance indicators (FY2025)

Revenue (Rs Cr)	Net Profit (Rs Cr)	Operating Margin (%)
76,352	7,064	14.1%

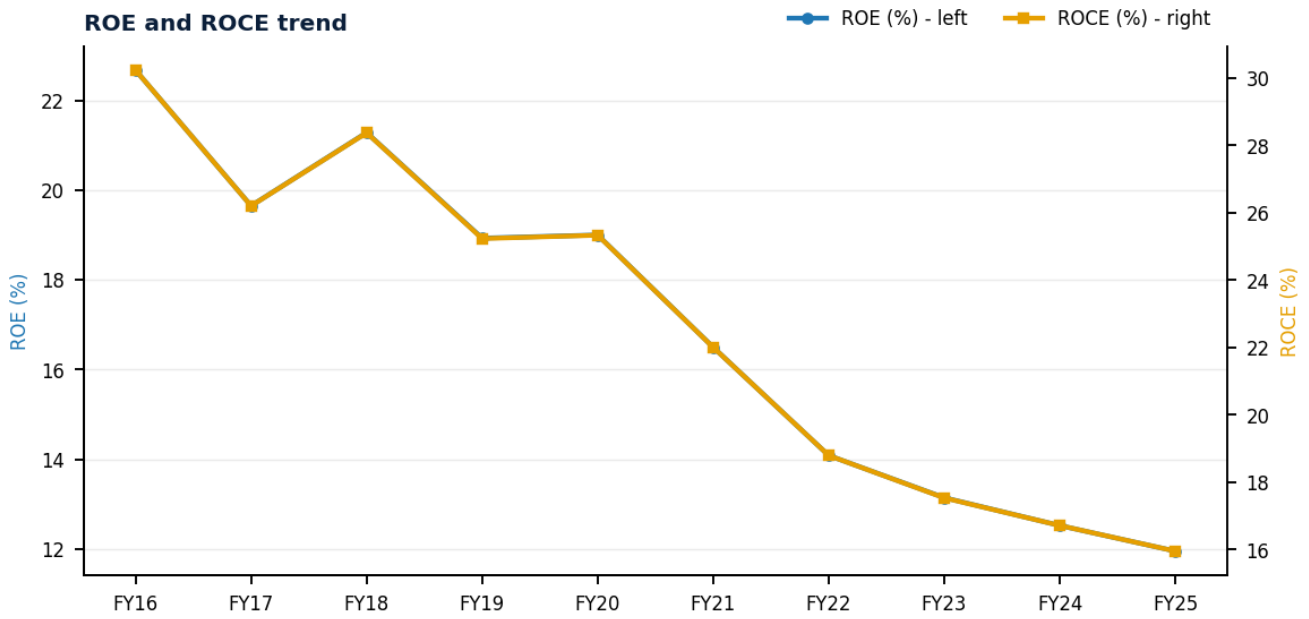
ROE (%)	ROCE (%)	Debt / Equity (x)
12.0%	15.9%	0.00x

10-year Revenue and Net Profit

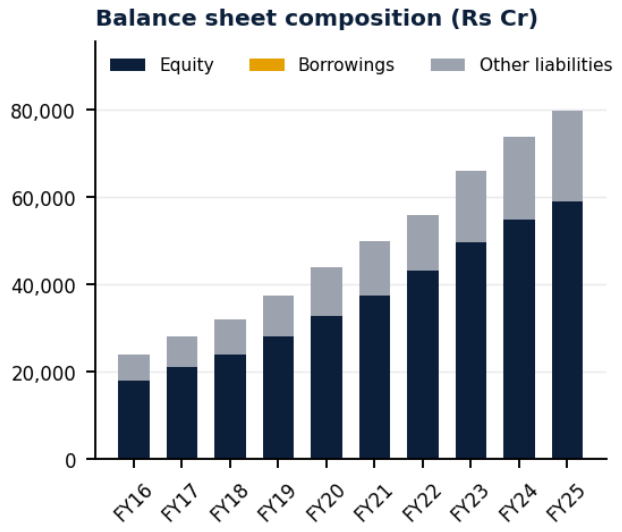


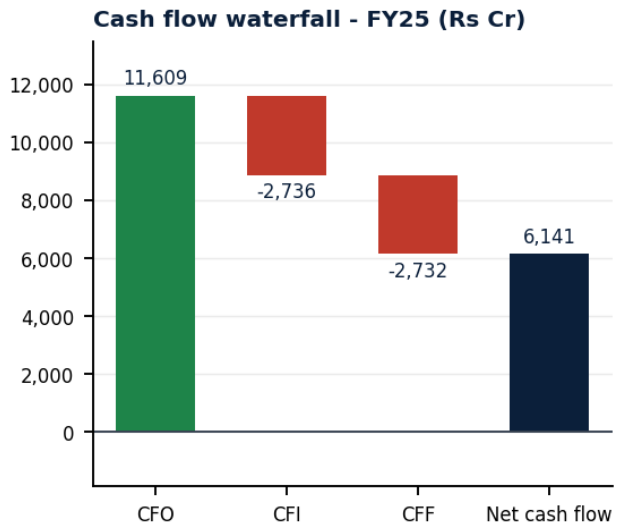


Return ratios (ROE and ROCE)



Balance sheet composition and cash flow





Pros - what the numbers favour

- Strong free cash flow generation over 5 years signals healthy business fundamentals (100%)
- Debt-free balance sheet provides financial flexibility and eliminates interest burden (100%)
- Very high interest coverage ratio reflects negligible financial stress from debt servicing (100%)

Cons - what to watch

- Earnings per share declining for 3 consecutive years reflects deteriorating profitability (81%)
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure (78%)

Capital allocation pattern (FY2025)

Reinvestor

Cash flow intelligence

CFO quality	CapEx intensity	Distress signal	Deleveraging
High Quality (1.42)	**Moderate (3.6%)**	**No**	**No**